AD-HOC OPINION · COMMUNICATION SERVICES

Meta: buy the business, demand proof on the buildout

21 October 2026 · Syz Research · Results due after the US close today

We are **cautiously positive** on Meta into tonight's results, but not aggressively so. The advertising engine looks strong enough to meet or beat expectations. The share's reaction, however, would depend less on the quarter than on whether management can make the 2027 AI investment bill look financeable and increasingly productive.

Market cap	Q3 revenue consensus	Q2 free cash flow	Q2 operating margin
USD 1,769 bn	**USD 63.3 bn**	**USD 0.8 bn**	**31%**
as of 21 October 2026	ads USD 61.9 bn, +23.5% y/y	after USD 31 bn of capex	vs. 43% a year earlier

1. The quarter should hold up

Advertising momentum was solid going into Q3: in Q2, ad impressions rose 14% and the average price per ad 12%. AI is already improving ad ranking, engagement and conversion, which supports advertiser returns and pricing. A revenue figure at or above consensus would therefore not be a surprise.

Reported earnings per share will be distorted by a one-off charge of around USD 10 bn for the settlement with 52 US state attorneys general, which is not in the USD 165 to 169 bn full-year expense guidance. A weak EPS should not be read as an operating miss, provided management clearly separates the charge from the underlying cost trend.

2. Muse lifts sentiment, not yet earnings

Meta's AI assistant Muse has started fast: about 10.9 million downloads since its September launch and over 2.5 million daily users by mid-October, according to app-tracking data. What is missing is retention, the cost of serving each user and revenue per user. Direct monetisation looks like a 2027 story at the earliest, and the suspension of chat sharing after a data exposure shows that user trust is part of the equation.

3. The real debate: 2027 cash economics

Spending is now absorbing almost all of the cash the business generates. Beyond capex, Meta has signed about USD 279 bn of data-centre leases that have not yet started, around 2.1 times its trailing operating cash flow, with about USD 82 bn of non-cancellable payments due in 2027. Market expectations for 2027 capex sit around USD 186 to 195 bn, and any further step-up would land on the share.

In one sentence, the risk is that Meta builds a cost base the size of a cloud provider's before showing a revenue base to match, while advertising remains its only reported revenue engine.

4. Other risks

Regulation (youth safety rules, European publishers contesting new terms on the use of their content from 30 October), advertiser questions on marginal returns and lead quality, and competition from TikTok and connected TV for budgets.

WHAT WOULD STRENGTHEN OUR VIEW

- Revenue at or above consensus, ad growth near 23.5%, and a firm Q4 outlook.
- 2027 capex and expense growth broadly in line with current expectations.
- Muse figures on retention and compute efficiency, plus early enterprise AI traction.

WHAT WOULD CHANGE OUR VIEW

- A soft Q4 revenue outlook.
- 2027 capex signalled well above current expectations without matching revenue evidence.
- Muse discussed through downloads only, with no retention, cost or monetisation metrics.

What this means for investors

The business is worth owning: advertising can fund the AI strategy for now. Ahead of a binary event, we would favour a small initial position rather than a full-size purchase, and add only if tonight's call shows AI turning into a return-on-investment story rather than a revenue story for chip suppliers and data-centre builders.

An investor already holding Meta does not need to add before the print. If the outlook disappoints on 2027 spending, a better entry point could come after the results.

Sources: Syz Research, Bloomberg (consensus and market data as of 21 October 2026); Meta Platforms Q2 2026 results and Form 10-Q; press reports (legal settlement, Muse usage, publishers). Lease-to-cash-flow ratio: Syz calculation.

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